

UC Berkeley Economics

SHARATH SONTI

OFFICE CONTACT INFORMATION

Department of Economics
University of California, Berkeley
530 Evans Hall #3880
Berkeley, CA 94720-3880
sharath_sonti@berkeley.edu

CURRENT ADDRESS

3012 College Avenue, Apartment B
Berkeley, CA 94705

PLACEMENT CHAIR

Professor Ben Handel
Department of Economics
University of California, Berkeley
handel@berkeley.edu
510-643-0708

GRADUATE PLACEMENT OFFICE

Department of Economics
University of California, Berkeley
gradofc-econ@berkeley.edu

DOCTORAL STUDIES

University of California, Berkeley

2021-present

PhD Candidate, Economics

Fields: Macroeconomics, monetary economics, expectations, behavioral macroeconomics

REFERENCES

Professor Yuriy Gorodnichenko
Department of Economics
UC Berkeley
ygorodni@econ.berkeley.edu

Professor Jon Steinsson
Department of Economics
UC Berkeley
jsteinsson@berkeley.edu

Professor Chen Lian
Department of Economics
UC Berkeley
chen_lian@berkeley.edu

PRIOR EDUCATION

CEMFI, Master in Economics and Finance, GPA: 89.5/100

2019-2021

Thesis: "Trade Shocks and Capital Downgrading: Evidence from China's Trade with India."

Shiv Nadar University, B.Sc. Economics (Research), Minor in Mathematics,
GPA: 9.66/10

2015-2019

**WORKING
PAPERS**

“Overconfident Forecasters and the Impact of Inflation Information: Evidence from a Randomized Survey Experiment” (with Filippo Natoli)

Does better access to macroeconomic data bring firms’ inflation forecasts closer to the rational-expectations benchmark? We exploit a natural experiment in the Bank of Italy’s quarterly Survey of Inflation and Growth Expectations: starting in Q3 2012, roughly one-third of respondents no longer received the latest inflation reading before forecasting. Comparing treated and non-treated firms, we find that the information treatment simultaneously attenuates consensus underreaction (as in Coibion–Gorodnichenko regressions) and individual overreaction (as in Bordalo–Gennaioli–Ma–Shleifer regressions). While the consensus-level result is consistent with standard noisy-information models, the attenuation of the individual-level coefficient is a strong discriminator among competing models of expectation formation. To exploit this, we embed four leading departures from individual rationality—noisy memory, diagnostic expectations, overconfidence in private signals, and over-extrapolation—in a common noisy-information framework. For each model we derive closed-form error-on-revision coefficients and estimate parameters via overidentified GMM targeting both the treated and non-treated coefficients and the treatment-induced change in forecast dispersion. A J-test of overidentifying restrictions selects overconfidence in private information as the best overall fit: intuitively, the public signal shifts weight away from overweighted private signals, attenuating individual overreaction.

“Local Housing Market Experiences and Homeownership Decisions” (with Gene Woo Kang and Junru Lyu)

How do lived housing-market experiences shape the decision to become a homeowner? We develop a dynamic life-cycle model in which households form beliefs about both the mean and variance of future housing returns through experience-based learning, and derive predictions: higher experienced returns encourage ownership while higher experienced volatility discourages it, with both effects attenuating over the life cycle. We test these predictions using the University of California Consumer Credit Panel, which tracks individual residence at the zip-code level and allows us to construct person-specific histories of local nominal house-price returns and volatility since age 18. A 1 percentage point increase in experienced returns raises the quarterly homeownership transition probability by 7% relative to the sample mean; a 1 p.p. increase in experienced volatility lowers it by 10%. Effects are robust to extensive controls and fixed effects, attenuate with age as the model predicts, and also predict leverage at mortgage origination.

**RESEARCH IN
PROGRESS**

“Reference Dependent Utility over Prices and the Welfare Costs of Inflation” (Job Market Paper)

Why might inflation be more costly than standard macroeconomic models predict? Drawing on the extensive marketing literature, I define a reference price as the price a consumer typically expects to pay for a product, an internal benchmark formed from past shopping experiences. I embed these reference-dependent preferences into a Rotemberg New Keynesian model: reference prices enter as taste shifters in a CES demand system, so when inflation pushes posted prices above consumers’ internal benchmarks the same physical consumption bundle delivers less utility. The model generates a reference-dependence wedge in the household price index, endogenous inflation persistence through adaptive reference-price updating, and a first-order welfare cost of inflation absent from standard formulations. A sufficient statistic for this novel first-order welfare cost is proportional to the weighted average of past inflation realizations, with weights governed by the speed of reference-price updating. Two key parameters govern its magnitude: the elasticity of consumption with respect to reference-price changes and the speed at which reference prices update. To discipline the elasticity, I design a novel survey in which the same posted price is randomly reframed as a loss or gain relative to a shifted reference price; the resulting changes in stated consumption identify the parameter. To pin down the updating speed, I elicit how long it takes consumers to accept a new price as normal, and map reported adjustment horizons to the model’s updating parameter. Under a calibration in which the impulse responses of output, inflation, and interest rates are quantitatively close to the standard New Keynesian model, welfare losses from cost push shocks are roughly 5 times larger.

“FOMC Dot Plots, Policy Uncertainty, and Transmission” (with Patrik Raty)

What does the SEP dot plot reveal about monetary policy uncertainty, and does that uncertainty have real effects? We start from a motivating reduced-form fact: larger increases in longer-horizon dot-plot dispersion are associated with declines in market-implied short-rate uncertainty around SEP meetings. To move beyond reduced-form correlations, we exploit changes in the Fed’s communication regime—specifically the introduction and evolution of the dot plot—to implement heteroskedasticity-based identification of high-frequency FOMC surprises. This recovers a third shock, beyond the standard target and path surprises, extracted from changes in option-implied short-rate uncertainty around FOMC announcements. The shock loads negatively on changes in dot-plot disagreement at longer horizons; because dot dispersion reflects differences in FOMC participants’ views of the appropriate policy path, the shock likely captures uncertainty about the Fed’s reaction function. Joint local projections reveal that the shock propagates primarily through real activity: durable goods and capital goods orders fall first and most sharply, payrolls weaken, and unemployment rises, consistent with the effects of uncertainty shocks documented in the literature. The VIX rises on impact, confirming an immediate increase in market uncertainty. By contrast, Treasury yields, mortgage rates, and investment-grade credit spreads barely move, arguing against a standard first-moment rate shock or a broad credit-risk-premia channel.

**PRESENTATIONS
AND
CONFERENCES**

Berkeley Macro Colloquium	November 2025
Berkeley Graduate Economics Mini Symposium (GEMS)	May 2023, 2024, 2025
Berkeley Macro Lunch	March 2025
Berkeley Finance Lunch	March 2024, March 2025
Berkeley Real Estate Lunch	March 2025
Midwest Macro Meetings (Scheduled)	May 2026
North American Econometric Society Summer Meeting (Scheduled)	June 2026

**TEACHING
EXPERIENCE**

ECON 202A, Macroeconomics I, UC Berkeley

Fall 2022, 2023, 2024, 2025

Graduate Student Instructor for Jon Steinsson

Topics included endogenous growth, human capital accumulation, and firm investment.

ECON 202B, Macroeconomics II, UC Berkeley

Spring 2023, 2024

Graduate Student Instructor for Benjamin Schoefer

Topics included labor-market dynamics over the business cycle, with special emphasis on search and matching frictions.

ECON 202B, Macroeconomics II, UC Berkeley

Spring 2025, 2026

Graduate Student Instructor for Yuriy Gorodnichenko

Topics included real business cycle theory and monetary economics.

**HONORS AND
GRANTS**

Doctoral Research Grant in Monetary Economics, BB90 Fund

2025

Outstanding Graduate Student Instructor Award, Department of Economics, UC Berkeley

2024

Seed Grant from the University of California Consumer Credit Panel (UC-CCP)

2024

NBER Behavioral Macroeconomics Boot Camp participant

2024

Princeton Initiative: Money, Macro and Finance Workshop participant

2023

Graduated from CEMFI with highest distinction

2021

Graduated from Shiv Nadar University with highest distinction

2019

Dean's List, Shiv Nadar University

2017, 2018

Tuition fee waiver, Shiv Nadar University

2015-2019

**RESEARCH
ASSISTANT
EXPERIENCE**

UC Berkeley

Summers 2022-2023

Research Assistant at Macro Policy Lab, with Jon Steinsson and Emi Nakamura

- Replicated results from Bordalo, Gennaioli, Ma, and Shleifer (2020) and ran forecaster-level regressions to study forecast bias, autocorrelation of forecast errors, and Mincer-Zarnowitz relationships.
- Worked with the model in “Learning about the Long Run” by Leland Farmer, Jon Steinsson, and Emi Nakamura, running Monte Carlo experiments under alternative hyperparameter choices to generate forecasts consistent with rational expectations.
- Compared forecast performance by mean squared error both in the data and in model-generated data under different prior specifications.

UC Berkeley

Summer-Fall 2024

Research Assistant to Yuriy Gorodnichenko

- Worked with proprietary survey data to analyze household macroeconomic expectations and expectations about own expenditures.
- Analyzed detailed household scanner purchases in the Nielsen Consumer Panel Dataset across narrowly defined spending categories.
- Linked survey and scanner data to study how well consumers predict future spending and how that relates to expectations about macroeconomic variables.

CEMFI

Summer 2020

Research Assistant to Josep Pijoan-Mas

- Worked with Bank of Spain input-output tables spanning 1962-2015.
- Reviewed the literature on sectoral linkages, constructed an artificial tourism sector from disaggregated data, and documented trends in value-added shares and imported and domestic intermediate-input use.

**SKILLS AND
LANGUAGES**

Computer Skills

MATLAB, R, Stata, LaTeX, Python, Microsoft Office

Languages

English, Hindi, Telugu